

The Federal Reserve System was set up with the passage of the Federal Reserve Act in December 1913. That is approximately when the value of the U.S. dollar began its amazing slide that according to the American Institute for Economic Research has since erased well over 90% of its purchasing power. Silver was removed from U.S. coinage in 1965, and in August 1971, the Federal government ceased paying gold, even to foreigners, in exchange for dollars. The trend in this Grand Supercycle bear market, then, has been toward dollar destruction. Whether that destruction will become total or be halted at some point is little more than a guess. However, there are some signs that readers of this volume might wish to look for in coming to a conclusion later about this question.

The history of politically managed paper currencies suggests little chance of avoiding the ultimate destruction of the dollar. There are countless examples of currency hyperinflation, so it would be prudent to be aware of what political forces typically impact a currency following several years of severe deflation. Because deflation devastates financial markets and the economy, the populace often demands a solution. One option is to return to a state of fiscal stability based upon a system of sound money, i.e., gold. Indeed, that decision is recurrently forced upon human beings regardless of their efforts to avoid it. If that path is not *chosen*, however, the threat of hyperinflation will loom large. If politicians decide to “get the country moving again” via currency inflation, the monetary trend will not simply reverse, but reverse dramatically.

It would take a tremendous amount of knowledge, short-run sacrifice and moral courage to allow a deflationary depression to dissipate naturally. Unfortunately, given the option between honest default (“Sorry, we can’t pay, we’re bankrupt”) and dishonest inflation, government sometimes chooses the latter, thus ultimately bankrupting virtually all citizens rather than hurt a comparatively few bondholders. The Treasury and the Federal Reserve may decide to cooperate with politicians who vow to “restore liquidity to the system” by shipping truckloads of currency to banks to satisfy the demands of depositors and bondholders. Once an “emergency” currency inflation has begun, every incentive will exist over the ensuing years for politicians to continue inflating.

The mechanism for a runaway inflation is already in place, in the form of the Monetary Control Act, which gives the U.S. government the power to monetize any institution’s debt. The implications of this power are staggering. In fact, the very existence of the Act